CONFIDENTIAL CLIENT FILE

Thompson v Meridian Construction Ltd

File Reference: TC/2025/0892
Date Opened: 14 March 2025
Fee Earner: Ms. Angela Barton, Senior Associate
Client: Mr. James Thompson
Opponent: Meridian Construction Ltd (Company No. 08451723)

1. Client Background

Mr. James Thompson, aged 54, resides at 12 Oakfield Gardens, Bristol, BS8 2LQ. Mr. Thompson is a retired civil engineer who purchased the property in January 2019 for GBP 425,000. He instructed this firm on 14 March 2025 regarding defective building works carried out by Meridian Construction Ltd at his property.

2. Summary of Facts

On 3 June 2024, Mr. Thompson entered into a written construction contract with Meridian Construction Ltd for the construction of a two-storey rear extension to his property. The total contract price was GBP 187,500, payable in four staged instalments. The contract specified a completion date of 15 November 2024.

The four payment instalments were agreed as follows:

- Stage 1 (Foundations): GBP 46,875 -- paid 10 June 2024
- Stage 2 (Shell / Superstructure): GBP 46,875 -- paid 5 August 2024
- Stage 3 (First Fix): GBP 46,875 -- paid 2 October 2024
- Stage 4 (Completion / Handover): GBP 46,875 -- withheld by client

Mr. Thompson paid the first three instalments totalling GBP 140,625. He withheld the final instalment of GBP 46,875 after identifying serious defects during a pre-handover inspection on 18 November 2024.

3. Schedule of Defects

A chartered surveyor, Mr. David Hargreaves MRICS, was instructed to prepare an independent defects report dated 9 January 2025. The report identified the following defects:

3.1 Structural Cracking: Significant cracking (exceeding 5mm in width) was observed in the load-bearing wall at ground floor level on the eastern elevation, indicating potential foundation movement.

3.2 Roof Defects: The flat roof membrane was improperly installed with inadequate falls, resulting in persistent water ponding. Multiple areas of the roof covering showed early signs of delamination.

3.3 Drainage: The below-ground drainage was found to be non-compliant with Building Regulations Approved Document H. Specifically, the foul drainage run had insufficient gradient (1:120 instead of minimum 1:80) and two inspection chambers lacked proper benching.

3.4 Electrical Installation: The consumer unit did not comply with BS 7671 (18th Edition Wiring Regulations). Fourteen circuits were identified without adequate RCD protection.

3.5 Window Installation: Three of the six windows installed in the extension were found to have missing or defective cavity trays, creating a risk of moisture penetration.

4. Estimated Remediation Costs

Mr. Hargreaves estimated the total cost of remediation works at GBP 74,300, broken down as follows:

- Structural repairs (underpinning and crack stabilisation): GBP 28,500
- Roof replacement: GBP 14,200
- Drainage remediation: GBP 11,800
- Electrical rewiring: GBP 8,600
- Window cavity tray installation: GBP 5,400
- Supervision and contingency (8%): GBP 5,800

Total estimated remediation: GBP 74,300

5. Pre-Action Correspondence

A Letter Before Action was sent to Meridian Construction Ltd on 22 January 2025 pursuant to the Pre-Action Protocol for Construction and Engineering Disputes. The letter set out the schedule of defects and demanded remediation within 28 days or, alternatively, payment of GBP 74,300 as damages.

Meridian Construction Ltd responded on 14 February 2025 through their solicitors, Blake Farnsworth LLP. In their response, Meridian denied liability for the structural cracking (attributing it to pre-existing ground conditions) and the drainage defects (claiming these were completed to the specification agreed with Mr. Thompson's architect). Meridian accepted liability for the roof defects and the window cavity trays, offering GBP 19,600 in full and final settlement.

Mr. Thompson rejected this offer on 3 March 2025 as it fell significantly short of the surveyor's total remediation estimate.

6. Legal Analysis

The claim is founded in breach of contract and, in the alternative, negligence. The relevant statutory framework includes:

- Supply of Goods and Services Act 1982, s.13 (implied term of reasonable care and skill)
- Defective Premises Act 1972, s.1 (duty to build dwellings properly)
- Building Act 1984 and associated Building Regulations 2010

The limitation period for breach of contract is 6 years from the date of breach (Limitation Act 1980, s.5). As the contract was entered on 3 June 2024, the claim is well within time.

Mr. Thompson's claim totals GBP 74,300 in remediation costs, plus GBP 3,200 in alternative accommodation costs incurred during the period when the property was uninhabitable due to the roof leaks (December 2024 to January 2025), bringing the total claim to GBP 77,500.

7. Recommended Next Steps

7.1 Issue proceedings in the Technology and Construction Court (TCC) if no satisfactory settlement is reached within 14 days of the date of this file note.

7.2 Consider instructing a structural engineer to provide a supplementary report on the foundation cracking to rebut Meridian's defence of pre-existing ground conditions.

7.3 Obtain quotations from two independent contractors for the remediation works to corroborate Mr. Hargreaves' estimate.

7.4 Explore the possibility of adjudication under the Housing Grants, Construction and Regeneration Act 1996 as an alternative to litigation.

8. Costs Estimate

An initial costs estimate for pursuing the claim through to trial in the TCC is GBP 35,000 to GBP 45,000 (excluding VAT and disbursements). Given the claim value of GBP 77,500, the proportionality of costs should be kept under review.